

All the time.

Can you give me an example?

I was in a client meeting with a big European pension fund that was visiting managers in Connecticut. After the meeting, the salesperson criticized me for being inarticulate, running on too long, and adversely affecting the meeting. I asked others who had been at the meeting for their opinions. I was given a grade of “F” by one of our new analysts who was just one year out of school. I loved it because I knew they were helping me improve and that they understood that was what they were supposed to be doing.

What do you believe is the biggest mistake people make in investing?

The biggest mistake investors make is to believe that what happened in the recent past is likely to persist. They assume that something that was a good investment in the recent past is still a good investment. Typically, high past returns simply imply that an asset has become more expensive and is a poorer, not better, investment. The tendency of investors to buy after a price increase for no reasons other than the price increase itself causes prices to overshoot. When investors are making money because they’re greedy and fearless, which is typically after a large price rise, doing the opposite is a good idea.



Dalio is a strong believer in diversification. In fact, he calls the potential improvement in return/risk through the addition of uncorrelated assets the “Holy Grail of investing.” He states that return/risk can be improved by as much as a factor of 5 to 1 if the assets in the portfolio are truly independent.

Most people tend to focus on correlation as a primary tool for determining the relative dependence or independence of two assets. Dalio believes that correlation can be a misleading statistic and poorly suited as a tool for constructing a diversified portfolio. The crux of the problem is that correlations between assets are highly variable and critically dependent on prevailing circumstances. For example, typically, gold and bonds are inversely related because inflation (current or expected) will be bullish for gold and negative for bonds (because higher inflation normally implies